

HOUSE BILL 2476

By Lankford

AN ACT to amend Tennessee Code Annotated, Title 9,
Chapter 4, relative to investments.

BE IT ENACTED BY THE GENERAL ASSEMBLY OF THE STATE OF TENNESSEE:

SECTION 1. Tennessee Code Annotated, Section 9-4-1401(3), is amended by deleting the language "established by law and for which the state treasurer has, or has been delegated, investment authority, oversight, and responsibility:" and substituting instead "established by law, resolution, or ordinance and for which the state treasurer or a local governmental entity has, or has been delegated, investment authority, oversight, and responsibility:".

SECTION 2. Tennessee Code Annotated, Section 9-4-1401(3), is amended by adding the following as a new subdivision:

(F) A plan, fund, or program established, maintained, or offered by a political subdivision that does not participate in the Tennessee consolidated retirement system or in a plan under subdivision (3)(C), that does the following:

(i) Provides retirement income or other retirement benefits to employees or former employees; or

(ii) Results in a deferral of income by employees for a period extending to the termination of covered employment or beyond.

SECTION 3. Tennessee Code Annotated, Section 9-4-1401, is amended by adding the following as new, appropriately designated subdivisions:

() "Economic analysis" means a written analysis demonstrating the factors considered in evaluating the financial impact of a shareholder-sponsored proposal that addresses:

(A) The subject matter of the shareholder-sponsored proposal;

(B) An evaluation of the issuer's stated reasons for opposition to the shareholder-sponsored proposal;

(C) An evaluation of whether the shareholder-sponsored proposal is consistent with the investment objectives and risk management profile of the program in which the beneficiaries are invested;

(D) An evaluation of the financial benefits and costs of implementing the shareholder-sponsored proposal, as written, over a time horizon that is consistent with the investment objectives and risk management profile of the program;

(E) The quantifiable impact of the shareholder-sponsored proposal, as written, on the investment returns of the beneficiaries of the program; and

(F) An explanation of the modeling, procedures, and processes used to complete the economic analysis;

() "Fiduciary" means:

(A) A person who, with respect to a program under Section 2(F):

(i) Exercises discretionary authority or discretionary control with respect to management of the program or exercises authority or control with respect to acquisition, management, or disposition of the program's assets; or

(ii) Has discretionary authority or discretionary responsibility in the administration of the program, including a plan administrator for the political subdivision; or

(B) A person who, with respect to a program, renders investment advice for a fee or other compensation, direct or indirect, with respect to moneys or other assets of the program or has authority or responsibility to do so;

() "Political subdivision" has the same meaning as defined in § 4-58-102;

() "Proxy advisory firm" means a person who is engaged in the business of:

(A) Providing proxy voting advice, research, analysis, ratings, or recommendations to the state treasurer, a political subdivision, or a fiduciary; or

(B) Providing proxy voting advice, research, analysis, ratings, or recommendations relating to an issuer of securities;

() "Shareholder-sponsored proposal" means a proposal submitted to an issuer of securities by a shareholder under 17 CFR 240.14a-8;

SECTION 4. Tennessee Code Annotated, Section 9-4-1402, is amended by designating the existing language as a new subsection (a) and adding the following new subsection (b):

(b) Consistent with the prudent investor rule pursuant to § 35-14-103, the standard of care pursuant to § 35-14-104, and the exercise of reasonable care in delegation of investment and management functions pursuant to § 35-14-111, a fiduciary, as defined in § 9-4-1401() (A), and the fiduciary's staff, shall invest, reinvest, manage, and select investment options for assets of a program, as defined in Section 2(F), for financial reasons for the exclusive benefit of the beneficiaries of the program while maximizing long-term shareholder value.

SECTION 5. Tennessee Code Annotated, Title 9, Chapter 4, Part 14, is amended by adding the following as new sections:

9-4-1405. Fiduciary voting responsibilities.

(a) A fiduciary shall vote all shares held directly or indirectly by, subject to, or on behalf of a program for financial reasons for the exclusive benefit of the beneficiaries of the program while maximizing long-term shareholder value.

(b) With respect to a shareholder-sponsored proposal, there is a rebuttable presumption that a fiduciary votes its shares for financial reasons if the fiduciary's vote

follows the recommendation of the board of directors of the issuer of the shares, as long as the board includes a majority of independent directors.

(c) With respect to a shareholder-sponsored proposal, a fiduciary's vote in a manner inconsistent with the recommendation of the board of directors of the issuer of the shares is presumed to be for financial reasons if:

(1) The fiduciary conducts and documents an economic analysis demonstrating that the vote is for financial reasons; or

(2) On behalf of the fiduciary, a third party conducts and documents an economic analysis demonstrating that the vote is for financial reasons, and the fiduciary determines that the economic analysis adequately demonstrates that the vote is for financial reasons.

(d) A fiduciary shall not vote in a manner that:

(1) Subordinates the financial interest of the program's beneficiaries to any environmental, social, and governance interests; or

(2) Promotes any environmental, social, and governance interests, unless, based on an economic analysis, it is determined that the vote is for financial reasons.

(e) With respect to shareholder-sponsored proposals, a fiduciary shall annually disclose in a report to the state treasurer, in the case of a program other than a program as defined in Section 2(F), and to the chief legislative body of a political subdivision, in the case of a program as defined in Section 2(F), that:

(1) Each vote that was inconsistent with the recommendation of an issuer's board of directors composed of a majority of independent directors; and

(2) The economic analysis conducted and documented with respect to each vote described in subsection (c) to determine that the vote was for financial reasons.

(f) The report required under subsection (e) must be certified by the chief executive officer and chief financial officer, or an individual acting in a similar capacity, of the fiduciary.

(g) At least once every three (3) years, a fiduciary shall back test its economic analysis to ensure that the models, procedures, and processes it used to predict the financial reasons were effective, and shall deliver a report detailing the back testing to the state treasurer, in the case of a program other than a program as defined in Section 2(F), and to the chief legislative body of a political subdivision, in the case of a program as defined in Section 2(F). Based on the back testing, the chief executive officer and chief financial officer, or an individual acting in a similar capacity, of the fiduciary shall certify that the economic analysis performed by the fiduciary and included in the report was effective.

9-4-1406. Prohibitions against conflicts of interest; disenfranchising shareholders and undermining independent boards of directors.

(a) The state treasurer, a political subdivision, or a fiduciary shall not enter into an agreement with a proxy advisory firm with respect to the provision of proxy advisory services unless the proxy advisory firm acknowledges in writing and accepts under contract its obligations under this section.

(b) A proxy advisory firm shall not provide proxy voting advice to a program if an actual or potential conflict of interest exists that could reasonably be expected to affect the objectivity or reliability of the proxy voting advice. For purposes of this section, "an

actual or potential conflict of interest" includes the following acts by a proxy advisory firm or any of its affiliates:

(1) Receiving or seeking to receive fees for consulting services from the issuer of the shares or any of its affiliates that are the subject of any proxy voting advice, written report, research, analysis, rating, or recommendation furnished by the proxy advisory firm;

(2) Receiving or seeking to receive fees for consulting services from the sponsor of a shareholder-sponsored proposal or any of its affiliates that is the subject of the proxy voting advice; or

(3) Is a member of an organization that actively supports a shareholder-sponsored proposal that is, or is substantially similar to, the subject of the proxy voting advice.

(c) A proxy advisory firm shall not provide proxy voting advice to a program if its voting recommendation is not consistent with the recommendation of a board of directors or a committee of the program, in either instance which is composed of a majority of independent directors, and the recommendation is based, in whole or in part, on a decision by the applicable company's board of directors, or committee thereof, to:

(1) Pursue the adjudication of a business dispute in federal or state court;

or

(2) Exercise its discretion in connection with executive compensation decisions.

(d) A proxy advisory firm shall not provide proxy voting advice to a program if its negative voting recommendation is based, in whole or in part, on the level of shareholder support received with respect to a previous proposal submitted to a vote at the company;

provided, that the company's previous proposal was approved by shareholders in accordance with the law of the state of incorporation of the applicable company.

SECTION 6. The headings in this act are for reference purposes only and do not constitute a part of the law enacted by this act. However, the Tennessee Code Commission is requested to include the headings in any compilation or publication containing this act.

SECTION 7. This act takes effect upon becoming a law, the public welfare requiring it.